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Unit Code	**ACFIM0035**
Unit Title	**FUNDAMENTALS OF CORPORATE FINANCE**

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REPORT A: 1517

REPORT B: 747

REPORT C: 714

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REPORT A
GREEN GLOBE

Executive Summary:

Green-Globe's potential entry into the renewable energy sector signifies a strategic alignment with both environmental sustainability and economic profitability. I have been engaged as an independent consultant to assess the appraisal of this project. This assessment utilizes two financial evaluation techniques: Net Present Value (NPV) and Internal Rate of Return (IRR). Both techniques evaluate the project's profitability over a five-year period. An analysis accompanied by numerical calculations and interpretations is presented to facilitate decision-making.

Assumptions:

- **Windmill Costs:**
  - Initial purchase cost per windmill: £1,000,000.
  - Total purchase cost: £10,000,000.
  - Setup cost per windmill: £4,500.
  - Total setup cost: £45,000.
  - Scrap value per windmill after 5 years: £10,000, also it delineates with inflation rate of 6%.
- **Operational Costs:**
  - Labour cost in Year 1: £50,000 annually (not per windmill).
  - Labour cost growth rate: 7% annually.
  - Other annual costs: £30,000 per windmill, growing at an inflation rate of 6%.
- **Revenue:**
  - Annual sales per windmill: £1,500,000.
  - Sales growth rate (limited by government): 2% annually.

- **Financing and Tax:**
    - Bank loan real rate of return: 4%.
    - Corporation tax rate: 15%.
- **Depreciation:**
    - Annual depreciation rate: 6% on initial cost.
- **Macroeconomic Variables:**
    - Inflation: 6%.

Analysis:

Net Present Value (NPV) Analysis:

The Net Present Value (NPV) technique calculates an investment's profitability by adding its cash inflows and outflows discounted at the required rate of return.

Initial Outlay:

- Total cost = £100,000,000 + £45,000 = £100,045,000.

Depreciation and Scrap Value:

- Annual depreciation = £10,000,000 × 6% = £600,000 per windmill. Depreciation expenses are not cashflows and are eliminated from analysis.
- Scrap value per windmill = £10,000 × 10 = £100,000.

Annual Revenue:

- Year 1 total revenue = £1,500,000 × 10 = £15,000,000. Assume that each windmill generates 1.5 million units of electricity at 1 GBP.
- Revenue is limited to increase by 2% annually.

Operating Costs:

- Labour costs: £50,000 per windmill in Year 1, increasing by 7% annually.
- Other costs: £30,000 per windmill, increasing at 6%.

Tax Calculation:

- Taxable income = Total revenue - Operating costs.
- Tax = Taxable income × 15%.

Discounting Cash Flows:

- Discount rate = Real rate of return (4%).

$$NPV = \sum_{t=1}^{n} \frac{n(R_t - C_t - Tax_t)}{(1+r)^t} - Initial\ Cash \quad -(1)$$

Where:

- R_t: Revenue in year t.
- C_t: Total costs in year t.
- Tax_t: Tax payment in year t.
- r: Discount rate.

Table.1. : Detailed NPV Calculations

Real rate =	0.04	Nominal rate =	1.1024			
Inflation rate =	0.06	Corporation tax =	15%			
Cashflow	**Time (Years)**	**Amount (£)**	**Inflation Rate**	**Discount Rate**	**DF**	**NPV**
Cost of Windmills	0	10,000,000	N/A		1	£ 10,000,000.00
Set up costs (One time)	0	45,000	N/A		1	£ 45,000.00
Sales (Per Windmill-per unit)	1 to 5	1,500,000	2%	8.08%	4.14	£ 6,210,000.61
Total Revenue (10 windmills)	1 to 5	15,000,000	2%	8.08%	4.14	£ 62,100,006.14
Labour	1 to 5	50,000	7%	3.03%	4.64	£ 231,785.70
Other costs	1 to 5	300,000	6%	4.00%	4.53	£ 1,359,085.16
Scrap	5	100,000	6%	4.00%	0.82	£ 82,192.71
EBIT						£ 60,509,135.27
Corporation tax cut (15%)						£ 9,076,370.29
Total profits after tax						£ 51,432,764.98
Total NPV =						£ 41,469,957.69

Step 1: Identify Cash Flows

- Initial Investment:
  - Total purchase cost for 10 windmills: £1,000,000 × 10 = £10,000,000.
  - Setup costs: £4,500 × 10 = £45,000.
  - Total Initial Investment: £10,045,000.
- Annual Cash Inflows:
  - Revenues: Start at £1,500,000 per windmill × 10 = £15,000,000 annually, increasing at 2% per year.
  - Operating Costs:
    - Labour costs: Start at £50,000 = £50,000, increasing at 7% per year.
    - Other costs: Start at £30,000 per windmill × 10 = £300,000, increasing at 6% per year.
  - Taxes: Taxable income = Revenues - Operating Costs, taxed at 15%.
- Terminal Cash Flow:
  - Scrap value of windmills after 5 years: £10,000 per windmill × 10 = £100,000.

Step 2: Calculate Discount rates from nominal rates and real rates given

$$(1 + \text{nominal rate}) = (1 + \text{real rate}) \times (1 + \text{inflation rate})$$

Nominal rate=1.1024; inflation rate= 0.06; real rate=0.04

For ex: Discount rate of total revenue= [1.1024/(1+0.02)]-1=8.08%

Step 3: Calculate the Discount Factors:

For each year, net cash flow is calculated as:

$$Discount\ Factor = \frac{1}{(1+r)^t};\ where\ r = 0.08\ (8\%), t = 5 \qquad -(2)$$

Step 4: Apply Discount Factors

For each year, the discount factor is calculated using the formula:

$$Discounted\ Cash\ Flow = Net\ Cash\ Flow * Discount\ Factor \qquad -(3)$$

Step 5: Sum Up Present Values

$$Total\ Discounted\ Cash\ Flow = \sum_{t=1}^{n} Discounted\ Cash\ Flow\ for\ year\ t \qquad -(4)$$

total discounted cash flows across all years are summed.

Step 5: Subtract Initial Investment

The NPV is calculated as:

$$NPV = Total\ Discounted\ Cash\ flows - Initial\ Investment + Scrap\ value\ at\ end\ of\ 5th\ year \qquad - (5)$$

Step 6: Analyze the NPV

- If NPV > 0, the project generates more value than the cost, and it's a good investment.
- If NPV < 0, the project is not financially viable.

Internal Rate of Return Analysis:

The Internal Rate of Return (IRR) is the discount rate at which the Net Present Value (NPV) of all cash flows equals zero. In simpler terms, it's the break-even rate of return that the project achieves over its lifespan.

IRR Analysis:

Step 1: Define the Cash Flows

Identify all the cash inflows and outflows:

- Year 0 (Initial Outlay):
  - Total cost = Purchase cost + Setup cost = -£10,045,000.
- Year 1 to 5 (Net Cash Flows):
  - Include annual revenues, operating costs, taxes, and add the scrap value in Year 5.

Step 2: Formulate the IRR Equation

IRR is the discount rate that satisfies the following equation:

$$NPV = 0 = [(Total\ Revenue * 4) - (Cost\ of\ Labour * 4) - (Other\ expenses * 4)] * [AF(4yrs, r\%)] + [Total\ Revenue - Cost\ of\ Labour - Other\ expenses + Scrap] * [AF(5th\ yr, r\%)] - Initial\ investment \qquad - (6)$$

Step 3: Solve for IRR

Finding the IRR requires iterative techniques by making use of trial and error.

- We start with an initial guess for r, calculate the resulting NPV, and adjust r iteratively until the NPV becomes zero.

Step 4: Interpret the IRR

Once the IRR is determined, compare it to the project's required rate of return (4% in this case):

- If IRR > Required Rate of Return, the project is viable and profitable.
- If IRR < Required Rate of Return, the project is not financially attractive.

Graphical Representation of IRR:

1. NPV vs. Discount Rate Graph:
    - The IRR is the point where the NPV curve intersects the x-axis (NPV = 0).
2. Significance of the Graph :
    - Shows (Fig.1) how NPV changes with different discount rates.
    - Demonstrates at what rate the project achieves break-even returns.

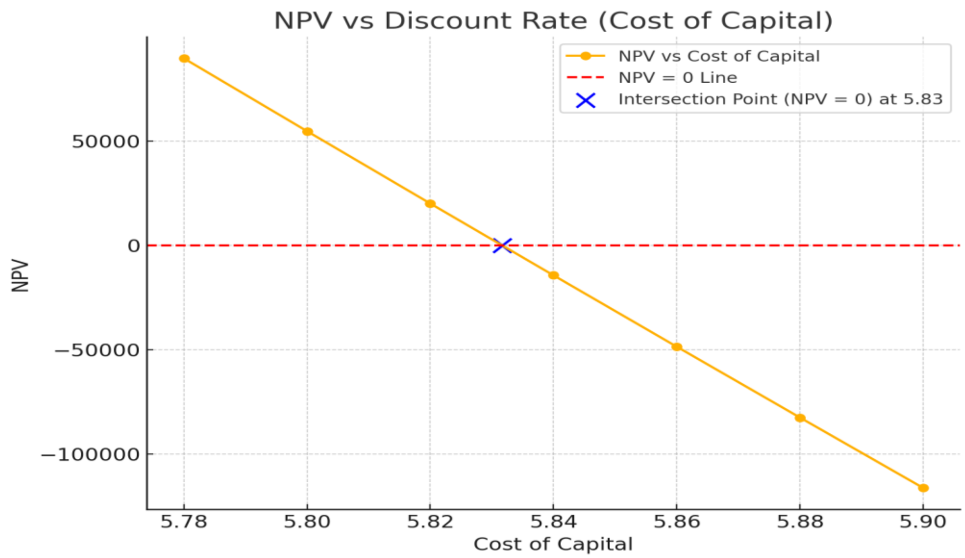

Fig.1.

Sensitivity Analysis:

Unit Price Sensitivity:

A decrease in the selling price of the product reduces total revenue, directly impacting the project's NPV.

Decrease in revenue *4.14=£41,469,957.69; hence, Decrease in revenue= £10,016,897.99, which implies Decrease in unit price= £10,016,897.99/£41,469,957.69=0.667

This indicates that a 0.06% (6 pence) drop in unit price will result in the given NPV reduction.

Sales Volume Sensitivity:

A change in the sales volume impacts revenues and variable costs, affecting the NPV.

Variable cash flow per unit of electricity= 1-0.003(labour cost)-0.02 (other costs)=0.977

Decrease in no. of units*0.977*4.14=£41,469,957.69, so decrease in no. of units= 10,252,710.33.

Total decrease in no. of units=10,252,710.33/15,000,000

This corresponds to a 68.35% decrease in sales volume.

Discussions:

Table.2. :Sales limit % and NPV predictions

Sales limit %	NPV
1%	£ 40,322,592.30
2%	£ 41,469,957.69
3%	£ 42,655,294.31
4%	£ 43,879,288.86
5%	£ 45,142,642.69
6%	£ 46,446,071.81
7%	£ 47,790,306.78
8%	£ 49,176,092.71
9%	£ 50,604,189.26
10%	£ 52,075,370.61

- The [Table.2] explains prediction analysis for the different values of NPV if the government sales limit varies from 1% to 10% due to the regulatory changes.

Table.3. : Corporation taxes with NPV

Corporation tax	Cost of corporate taxes	Proficts after tax	Total NPV
10%	£ 6,050,913.53	£ 54,458,221.75	£ 44,495,414.46
15%	£ 9,076,370.29	£ 51,432,764.98	£ 41,469,957.69
20%	£ 12,101,827.05	£ 48,407,308.22	£ 38,444,500.93
25%	£ 15,127,283.82	£ 45,381,851.46	£ 35,419,044.17
30%	£ 18,152,740.58	£ 42,356,394.69	£ 32,393,587.40
35%	£ 21,178,197.35	£ 39,330,937.93	£ 29,368,130.64
40%	£ 24,203,654.11	£ 36,305,481.16	£ 26,342,673.88
45%	£ 27,229,110.87	£ 33,280,024.40	£ 23,317,217.11
50%	£ 30,254,567.64	£ 30,254,567.64	£ 20,291,760.35

- The Table.3. presents forecasts of the company's total profits after tax deductions, along with its net present value (NPV), as corporate tax rates vary from 10% to 50%. This significantly decreases the overall profits of the project prior to NPV calculation.

The IRR of the project is calculated to be an impressive 583%, far exceeding the hurdle rate of 4%. This metric highlights the project's ability to generate returns substantially higher than the cost of capital. The IRR also demonstrates the project's robustness to changes in macroeconomic variables, such as inflation or cost escalations, providing a significant margin of safety for Green Globe's investment.

The IRR is a critical metric because it represents the break-even rate of return. For this project, the discount rate would need to exceed 583% before the NPV becomes negative, indicating a high tolerance for adverse financial conditions. Such a high IRR positions the project as an exceptional opportunity, making it highly attractive for investment.

The results demonstrate that the project remains financially viable even under challenging economic scenarios. High inflation, labor cost increases, or revenue growth constraints are unlikely to jeopardize the profitability of the windfarm, thanks to its strong NPV and IRR performance. Moreover, the project's scrap value in Year 5, while relatively small, contributes to its overall return, ensuring a further safety net for the investment.

Impact of Inflation on Cash Flows and Discount Rates

- Sale, labour, other cost, and scrap cash flows have different inflation rates from 2% to 7%. These rates affect future cash inflows and outflows by adjusting future expenses and income.
- Labour costs with a 7% inflation rate rise dramatically over the project. Labour cost inflation is substantial, therefore future labour expenses will rise faster than other costs, reducing profitability.

In addition to financial rewards, the windfarm project supports Green Globe's aim of renewable energy. Wind energy investments diversify the company's energy mix and boost its environmental credentials, appealing to environmentally concerned stakeholders and helping fight climate change.

Risks and Non-Financial Considerations

Risks:

- **Operational Risks:** Delays in construction or turbine malfunctions.
- **Market Risks:** Fluctuating electricity prices.
- **Financial Risks:** Interest rate hikes impacting debt servicing.

Non-Financial Factors:

- **Environmental Impact:** Alignment with Green-Globe’s mission to support sustainable initiatives.
- **Community Relations:** Building trust and support among local communities.

Conclusion:

The results indicate that the windfarm project represents a significant investment opportunity. The positive net present value and high internal rate of return signify robust financial returns, while the project's alignment with Green Globe's sustainability objectives contributes strategic value. The analysis indicates that the benefits of the project significantly exceed the associated costs and risks, thereby recommending it as a viable investment.

To optimize this project, Green Globe must conduct thorough monitoring of operational costs, inflation rates, and regulatory changes that affect revenue growth. Investigating avenues for project expansion or tenure extension may increase its profitability.

The windfarm project exemplifies a synthesis of financial viability and environmental responsibility, aligning with Green Globe’s vision for a sustainable future.

REPORT B
WESTON LTD

Executive Summary:

Weston Ltd., a pharmaceutical firm specializing in therapies for COVID-19 effects, now holds a 15-year patent on its medications. The company's current valuation is £200 million, with a projected yearly profit increase. The directors strongly believe in enhancing the firm value over the years; additionally, they acknowledge the significance of compensating investors with a portion of profits, hence mandating the assessment of a successful payout program for the firm. This study analyses a payout strategy for Weston Ltd., highlighting the optimal equilibrium among dividends, strategic share repurchases, and investing in research & development.

Rationale for a payout policy:

A firm's payout policy distributes free cash flow to shareholders, usually through dividends or share repurchases. These actions impact shareholder attitudes and show management's confidence in the firm's profitability and stability.

The major reasons pharmaceutical firms develop efficient payment plans are:

- To Show Financial Stability: Pharmaceutical enterprises have high risks and rewards. A consistent payment plan boosts market and shareholder trust. A stable or rising dividend indicates a company's confidence in its long-term profitability and medication research and regulatory clearances.
- Consider dividend or retention strategies: Keeping earnings helps the corporation to pursue expensive pharmacological research programs that take years to commercialize, while dividends and buybacks reward shareholders, especially with cash-generating product lines.

- Pharmaceutical businesses should invest heavily in R&D to innovate and fulfil investor expectations for profits.

Analysis:

The payout policy rationales above imply that pharmaceutical firms must consider several factors when designing a payment plan. The research by William Lazonick and Öner Tulum [1] examines how pharmaceutical companies prioritize shareholder value in their financial operations. Reinvesting in R&D, paying appropriate dividends, utilizing disciplined share repurchase procedures, and exploring hybrid dividend-buyback strategies to optimize shareholder value are their recommendations. These criteria inform my analysis.

Weston Ltd. should optimize revenues of its COVID-19 side effects therapies during the next 15 years. COVID-19 drug profits can be used to fund research for another drug development project to create revenue after 15 years. Weston can have a payout plan for 20 years (ending 2044) if the new medication research has a 5-year patent.

The analysis is conducted based on the following assumptions:

Shares and Profits:

- Total shares outstanding: 10 million in 2024.
- Profit remains steady at £50 million annually through 2044.

Dividends:

- Starting at £0.40 per share in 2024

Share Buybacks:

- Planned buybacks reduce shares outstanding by 0.25 million shares every 4 years.

R&D Spending:

- Begins at £10 million in 2024 and increases to £35 million by 2044 to foster innovation.

P/E Ratio and Share Price:

- Share price reflects EPS multiplied by a consistent P/E ratio of 15.

20-Year Plan for Payout Policies

1. Dividends: A Steady Growth

Dividends will rise from £0.40 in 2024 to £2.00 in 2044. This strategy keeps income-focused investors, following the clientele effect.

Example:

- **2024**: £0.40 × 1,000 shares = £400 annual income for an investor.
- **2040**: £1.50 × 1,000 shares = £1,500 annual income, demonstrating a significant rise in returns.

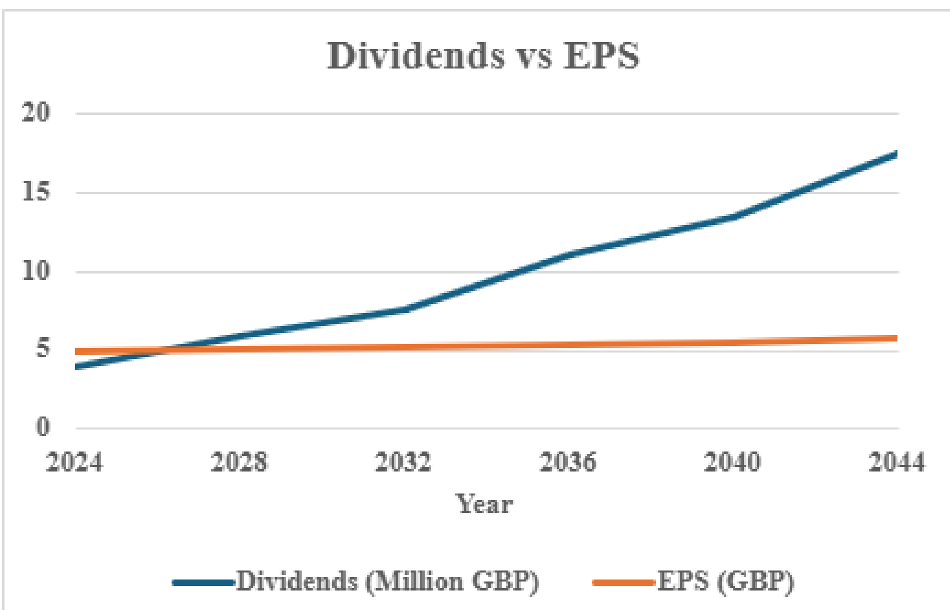

Fig.2. :Dividends vs EPS forecast

2. Strategic Share Buybacks: Boosting EPS and Share Value

Weston Ltd. should implement buybacks every four years, commencing with £5 million in 2024 and escalating to £30 million by 2044.

Example:

- **2024**: Profit of £50M ÷ 10M shares = EPS of £5.00. Share price (P/E ratio = 15) = £75.00.
- **2028**: Profit of £50M ÷ 9.75M shares = EPS of £5.13. Share price = £76.95.
- This gradual improvement in EPS ensures consistent value for remaining shareholders.

Table.4. :Buybacks and EPS growth

Year	Buybacks (Million GBP)	EPS (GBP)
2024	5	5
2028	10	5.13
2032	15	5.26
2036	20	5.41
2040	25	5.56
2044	30	5.71

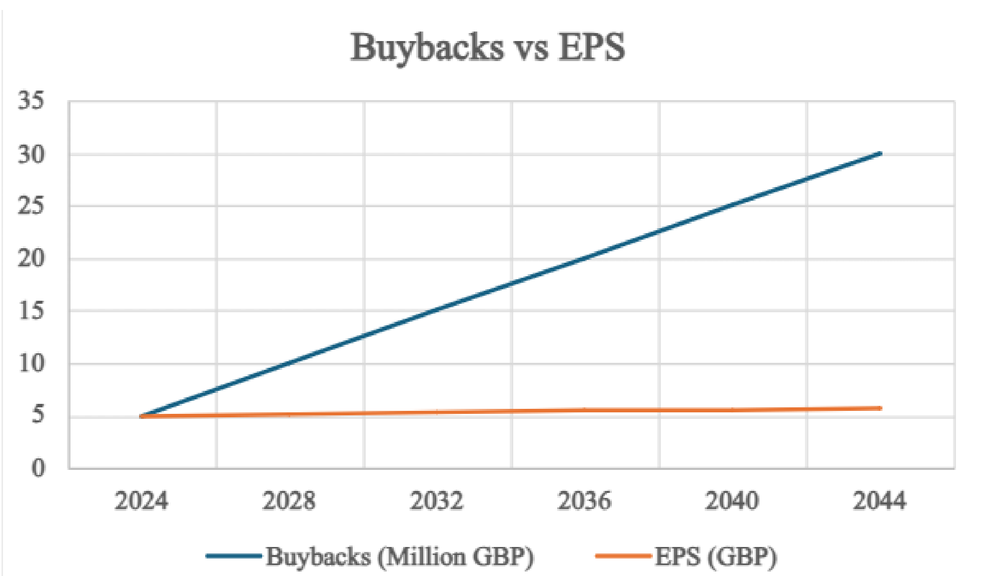

Fig.3. : Buybacks vs EPS forecasts

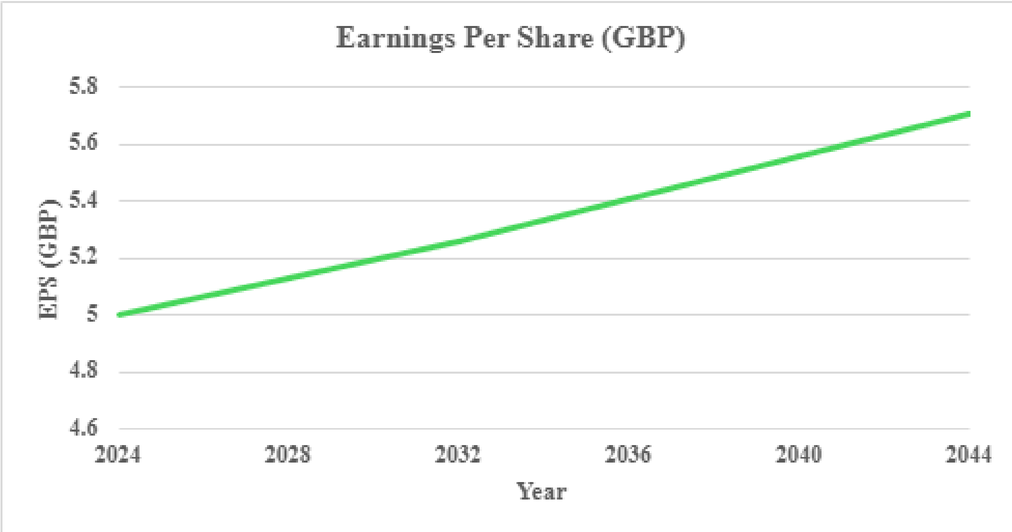

Fig.4. : EPS forecasts over time

3. R&D Reinvestment: Sustaining Innovation

Starting at £10 million in 2024, R&D spending grows to £35 million by 2044, allowing Weston Ltd. to expand its patent portfolio and secure future revenue streams.

Example:

- **2024**: £10M invested in R&D.
- **2044**: £35M reinvested; R&D spending supports the development of next-generation drugs, fostering long-term growth and shareholder confidence.

Table. 5: Estimated Payout Policy Overview

Year	Dividends per share (GBP)	Dividends (Million GBP)	Buybacks (Million GBP)	R&D Spending (Million GBP)	Total Shares (Million)	EPS (GBP)	Share Price (GBP)
2024	0.4	4	5	10	10	5	75
2028	0.6	5.85	10	15	9.75	5.13	76.95
2032	0.8	7.6	15	20	9.5	5.26	78.9
2036	1.2	11.1	20	25	9.25	5.41	81.15
2040	1.5	13.5	25	30	9	5.56	83.4
2044	2	17.5	30	35	8.75	5.71	85.65

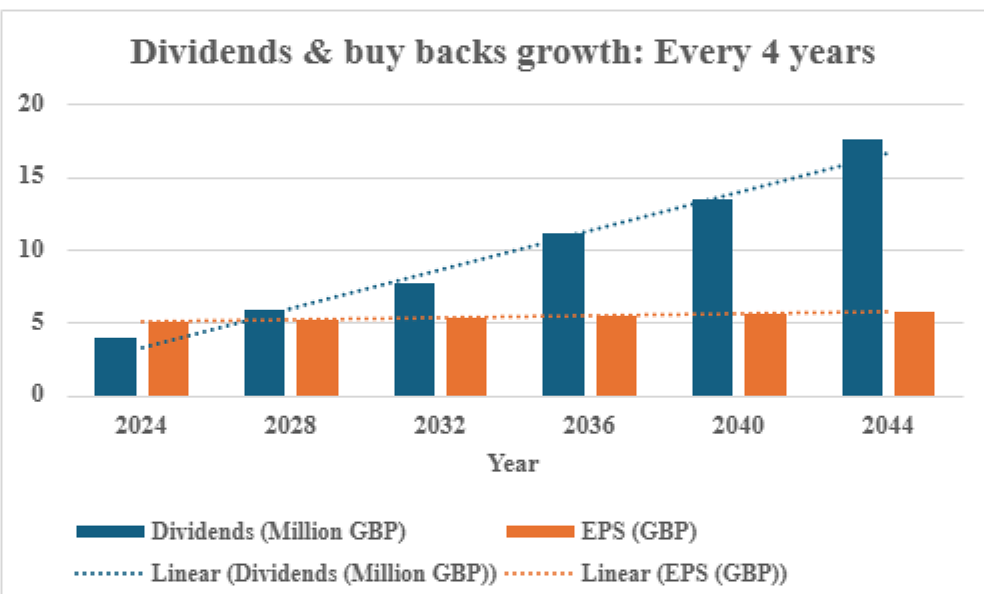

Fig.5: Dividends and Buybacks growth

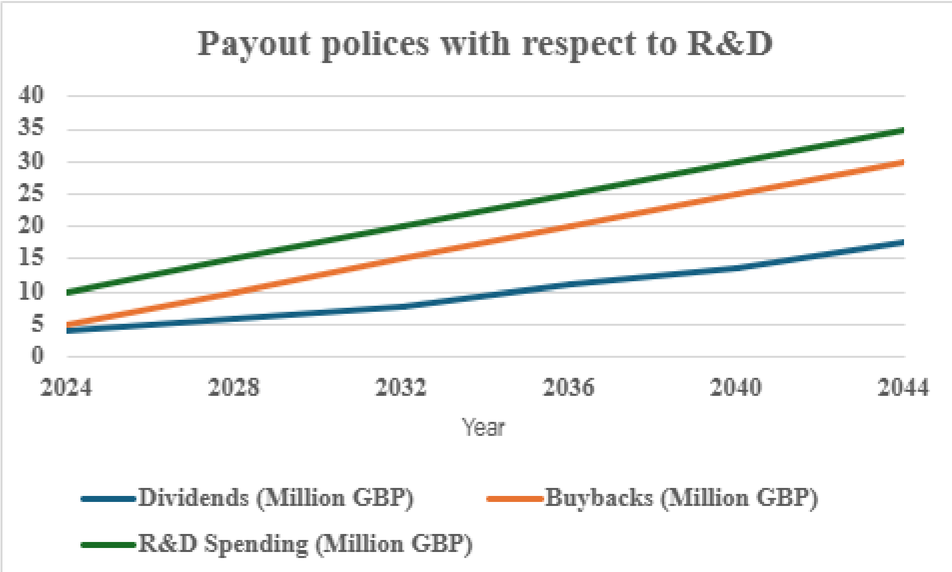

Fig.6: Payout policy and R&D

- Balanced Growth: The ongoing dividend and repurchase increases demonstrate a balanced approach to shareholder rewards. Dividends climb gradually as investors expect, while buybacks boost EPS and share value.
- Increased R&D spending demonstrates Weston Ltd.'s dedication to long-term innovation, competitiveness, and profitability, while maintaining strong payout policies.
- Share buybacks gradually lower outstanding shares, raising EPS. This boosts share prices and shareholder wealth without reducing reinvestment.

Clientele Effect: Weston Ltd.'s balanced policy caters to both Income-focused clients who benefit from rising dividends and Growth-oriented clients benefit from buybacks and EPS growth.

Rising dividends and buybacks signal management's confidence in Weston Ltd.'s profitability, ensuring investor trust.

Dividend growth adheres to the Lintner Model, ensuring steady increases aligned with predictable profitability, boosting shareholder confidence.

Conclusion:

Dividends, strategic buybacks, and R&D investments all work together in Weston Ltd.'s 20-year payout strategy to maximize shareholder value. This plan not only meets the current needs of shareholders, but it also guarantees long-term growth and new ideas, which strengthens Weston Ltd.'s place in the pharmaceutical industry.

REPORT C
Trendora LTD

Executive summary:

Trendora Ltd., a publicly traded fashion retailer, has a current debt ratio of 0.2. As a financial consultant, my role involves assessing the existing capital structure and advising on potential adjustments to the debt level to enhance shareholder value. This report employs methodologies from the research paper "How Retailers Create Value Through LBOs" [2.] to propose an optimal capital structure for the company aimed at maximizing shareholder value.

Capital structure denotes the ratio of debt to equity utilized in financing a firm's assets. This is usually expressed as:

Theories regarding optimal capital structure

Propositions of Modigliani and Miller:

Proposition I: In an ideal market free of taxes, the value of a firm remains unaffected by its capital structure.

Proposition II: Debt generates value through a tax shield, thereby lowering the Weighted Average Cost of Capital (WACC).

Trade-Off Theory evaluates the advantages of tax shields against the expenses associated with financial distress.

Pecking Order Theory suggests that firms prefer internal financing first, then debt, with equity issuance being the least preferred option.

Analysis:

The following assumptions were considered:

Total assets = £500 million

Debt = £100 million

Equity = £400 million

Debt ratio = 0.2

Corporate tax rate = 30%

Return on equity (r_E) = 10%

Return on debt (r_D) = 5%

Scenario 1: Current Capital Structure (D/E=0.25)

- **WACC Formula:**

$$\text{WACC} = \frac{E}{D+E} r_E + \frac{D}{D+E} r_D (1 - T_C)$$

$$\text{WACC} = \frac{400}{500} \times 10\% + \frac{100}{500} \times 5\% \times (1 - 0.3) = 8.7\%$$

Trendora Ltd. has careful capital with 0.2 debt and 0.25 debt-to-equity. The techniques from "How Retailers Create Value Through LBOs" stress that low leverage limits debt financing benefits. It limits the firm's interest tax shield use, which lowers taxable income and enhances cash flows for reinvestment or shareholder payment. Trendora Ltd.'s WACC is 8.7% because equity is more costly than debt. This conservative structure minimizes financial risk but underutilises debt's tax savings and capital efficiency potential to boost shareholder value.

Scenario 2: Increasing Debt Ratio to 0.4 (D/E=0.67)

- New Debt = £200 million, Equity = £300 million

- Interest Expense = 200×5%=£10 million
- WACC:

$$\text{WACC} = \frac{300}{500} \times 10\% + \frac{200}{500} \times 5\% \times (1 - 0.3) = 7.8\%$$

Raising the debt ratio to 0.4 follows the paper's methodology to maximise capital efficiency. Trendora Ltd. uses the tax shield to cut their WACC to 7.8% by expanding debt to £200 million and decreasing equity to £300 million. The research stresses that moderate leverage levels, such 50–75% debt for retailers, bring value and financial stability. The rise in leverage reduces Trendora Ltd.'s taxable revenue by £10 million (from interest expenses), saving £3 million. Savings increase net cash flows and shareholder value. According to the paper, managers must efficiently deploy resources and prioritise high-return activities to increase leverage. This model maximises debt benefits without financial hardship, an important study conclusion.

Scenario 3: Higher Debt Ratio (D/E=1.0)

- New Debt = £250 million, Equity = £250 million
- Interest Expense = 250×5%=£12.5 million
- WACC:

$$\text{WACC} = \frac{250}{500} \times 10\% + \frac{250}{500} \times 5\% \times (1 - 0.3) = 7.5\%$$

In Scenario 3, debt and equity equal £250 million after raising the debt ratio to 0.5 (a debt-to-equity ratio of 1.0). This debt level reduces WACC to 7.5% and saves £3.75 million in taxes, but it approaches a retailer's sustainable leverage limit. The research recommends against excessive leverage in retail, because demand is unsteady. At this debt level, Trendora Ltd. suffers financial distress expenditures such operational investment cash flow constraints and higher debt payment charges. According to the report, higher leverage can enhance EPS and corporate value through tax sheltering, but it also increases financial risk, which may deter equity investors and market trust.

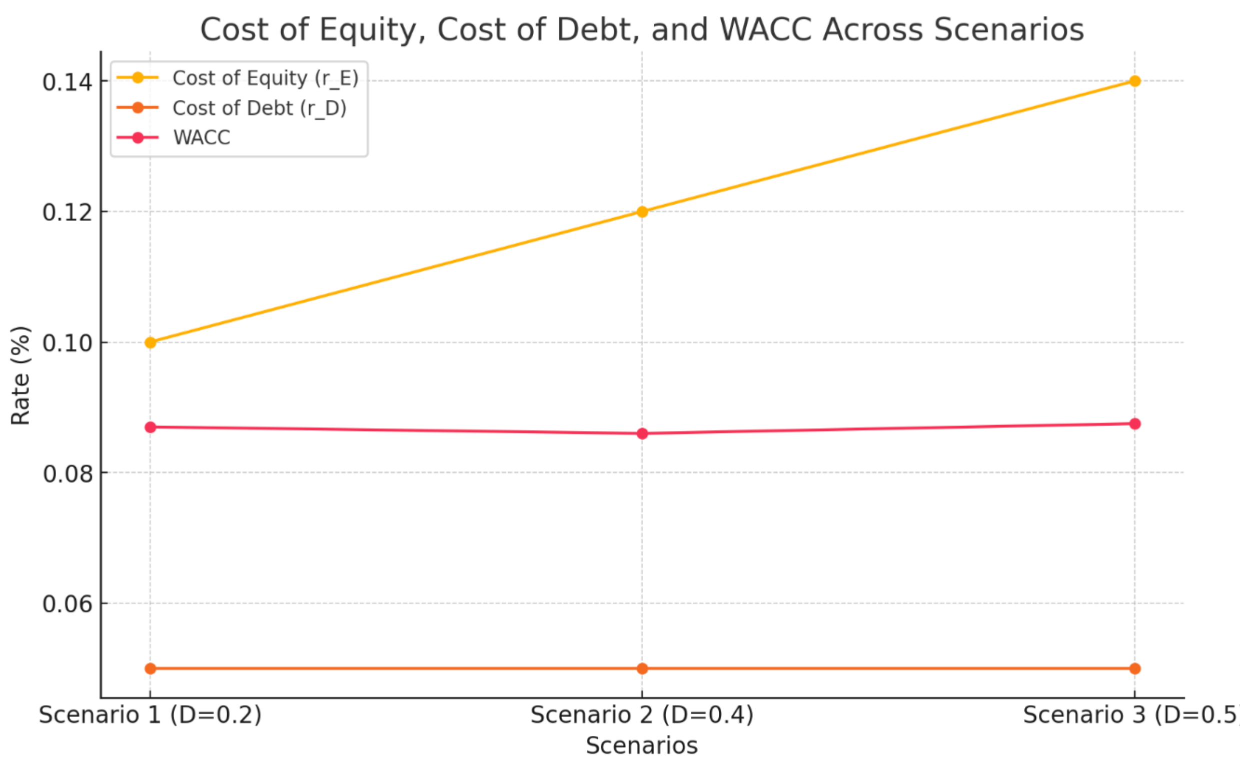

Fig.7. : Cost of equity, Cost od debt and WACC plot

The graph (Fig.7.) illustrates how WACC decreases initially with moderate debt levels (Scenario 2) due to tax benefits, but starts to rise slightly at higher leverage levels (Scenario 3) due to increased equity risk.

Conclusion:

The methodologies outlined in "How Retailers Create Value Through LBOs" indicate that Scenario 2 presents the most balanced and effective capital structure for Trendora Ltd. It enhances shareholder value by reducing WACC, increasing tax savings, and improving EPS while minimizing the risk of financial distress. Higher leverage, as demonstrated in Scenario 3, may decrease WACC and enhance tax shields; however, it also introduces risks inconsistent with the volatility characteristic of the retail sector. The findings of this paper provide excellent proof for a moderate increase in leverage as a means to attain sustainable growth and enhance shareholder value.

References

[1.] Lazonick, W. and Tulum, Ö. (2023). Sick with 'shareholder value': US pharma's financialized business model during the pandemic. *Competition & Change*. [online] doi:https://doi.org/10.1177/10245294231210975.

[2.] Pellicer, R.P. (2020). How retailers create value through LBOs.